



COLLEGE OF BUSINESS
COLORADO STATE UNIVERSITY

Understanding Our Place in the Market

BUS 655: Marketing Management
Professional and Online MBA Programs
Dr. Kelly Martin



BUSINESS

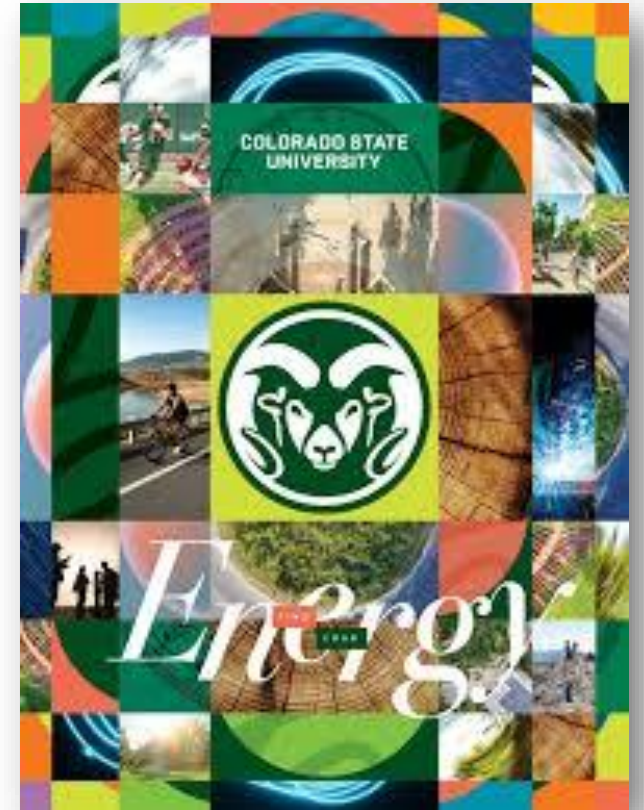
FOR A

BETTER

WORLD

Agenda

1. Recap of Week 1
2. Intro to Simulation
3. Guest Expert: Kyle Henley, CSU
4. Competitive Strategy: Our Place in the Market
5. Marketing's STP Framework
 1. Segmenting Markets
 2. Approaches to Selecting Target Markets
 3. Crafting the Positioning Strategy for Differentiation



Week 1 Recap

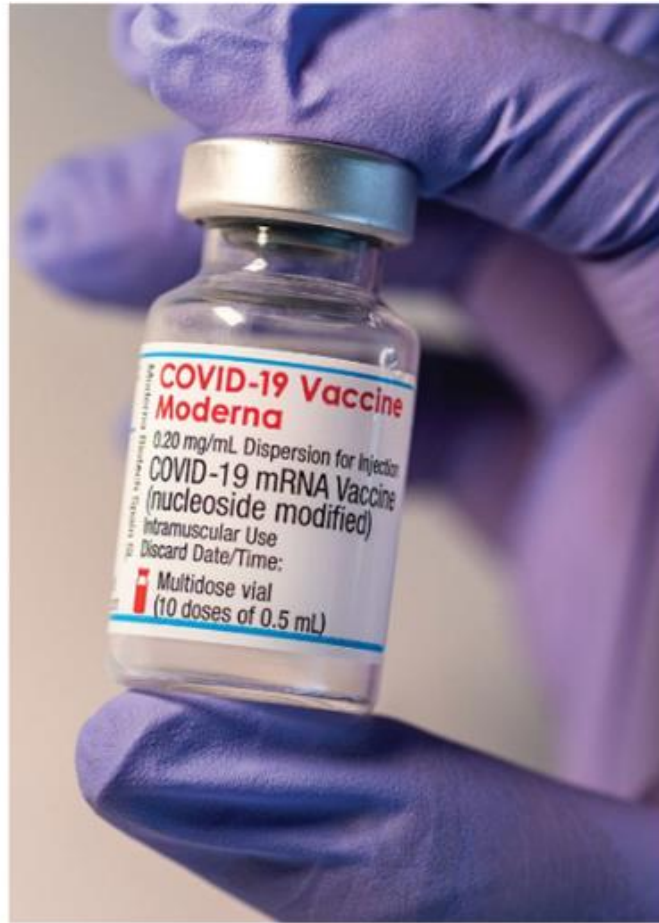


What is Marketing?

- Marketing is the activity, set of institutions, and processes...
- for creating, communicating, delivering, and exchanging offerings...
- that have value for customers, clients, partners, and society at large.”



Marketing for a Better World





SOUTHWEST AIRLINES

Corporate Situation Analysis
Corporate Mission, Goals, and Objectives

Business-Unit Situation Analysis
Business-Unit Mission, Goals, and Objectives

Business-Unit Strategy

Marketing Goals and Objectives

Marketing Strategy

Implementation

Evaluation and Control

Production Goals and Objectives

Production Strategy

Implementation

Evaluation and Control

Financial Goals and Objectives

Financial Strategy

Implementation

Evaluation and Control

Human Resource Goals and Objectives

Human Resource Strategy

Implementation

Evaluation and Control

Other Functional Goals and Objectives

Other Functional Strategies

Implementation

Evaluation and Control

Marketing Plans

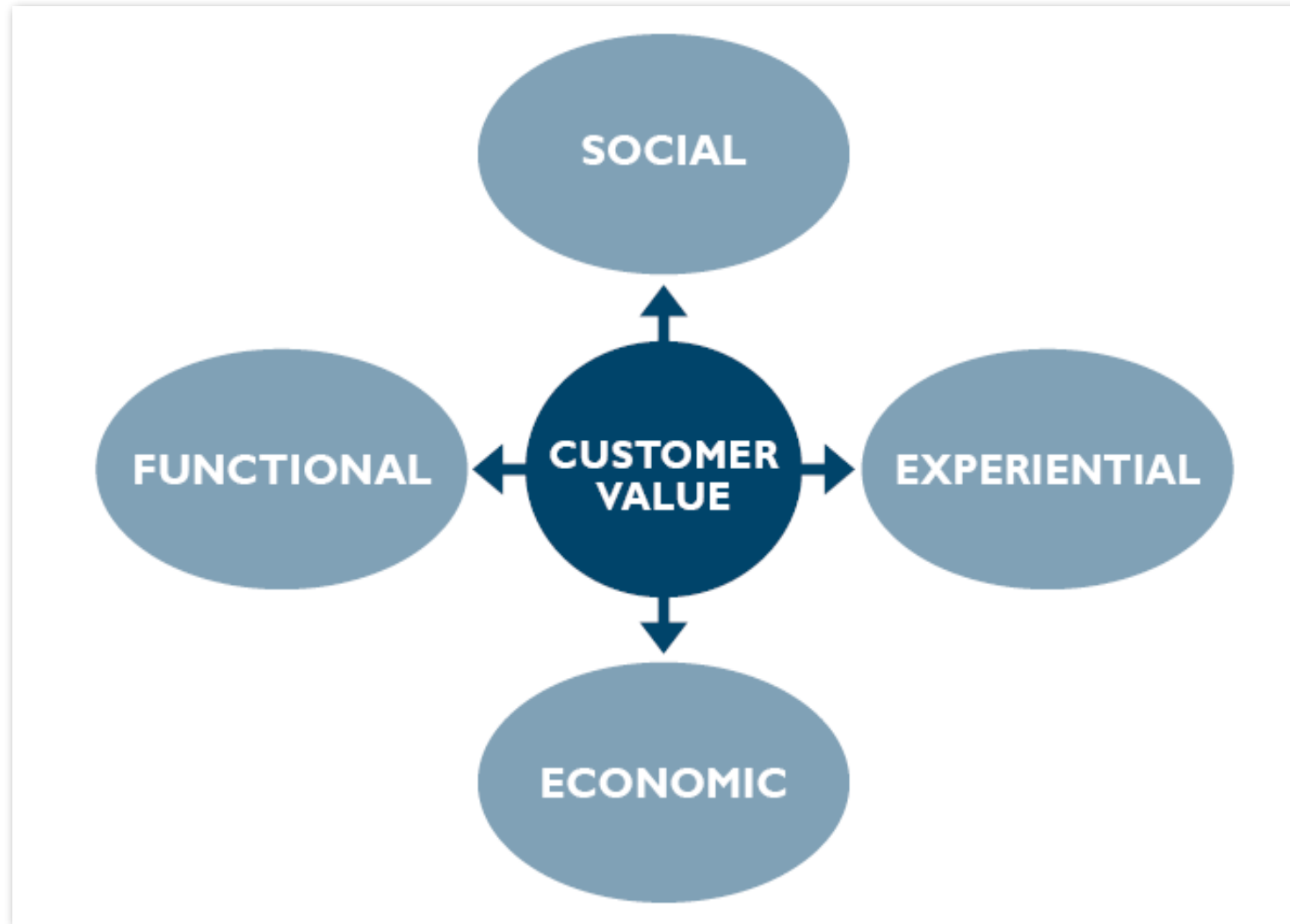
Production Plans

Financial Plans

Human Resource Plans

Other Functional Plans

Forms of Customer Value



Key Takeaways: Customer Value

- Value is the reason customers purchase a product or service; it is also the reason they will stay loyal to a company.
- Value takes different forms, some overlapping or reinforcing.
- It is the marketer's job to maximize salient forms of value in their product/service offerings.
- Providing value is a whole-company effort.



Marketing Simulation



Marketplace[®]
S I M U L A T I O N S

Simulation Goals

- The game scenario follows the logical process of starting up a new product line.
- You are guided through the decision-making process.
- Detailed help files are available within the game interface.



Design brands // Design ad copy // Schedule media
Set selling prices // Hire and train salespeople // Worry about profits

Simulation: Key Points

- Carbon fiber, 3D printing allows for a new type of bicycle and business model
- Higher price point than traditional high-end bikes; fully customized product
- Target market is the “higher end of the conventional market” who seeks the cache of a carbon fiber bicycle
- Customization means no need for large inventory, changing the marketing mix configuration.



Key Advantages

For the customer...

- Lightweight, making it easy to pedal
- Comfortable fit and ride designed for the specific customer and their needs
- Customization and light frame promotes a better ride and stronger performance
- Affordability allows more “mainstream” riders to access customization, high quality, and elite performance

For the business

- Less inventory means smaller retail footprint, reducing costs
- Customization allows for less to no waste and fewer resources tied up in inventory
- Reduced supply chain margins with a mostly direct to consumer model (small retail footprint)

Playing the Game

1. Beginning each quarter, you'll receive information on the current situation.
2. You evaluate the current situation, formulate strategy, and set tactics in place.
3. Tactical decisions are fed into the *Marketplace* simulator, along with decisions of opponents.
4. Results of decisions are fed back to you.



Game Scenario

- You work for a large international bicycle firm.
- Corporate Headquarters wants to enter the 3D printed, carbon fiber bicycle business.

You have been selected to head up the new marketing division to sell carbon fiber bicycles in North America, South America, Europe/Africa, and Asia.



Several other international firms are entering the market at the same time.

Market Segments

- Your marketing strategy will be tightly focused on direct sales to bicycle customers
- You will sell through company-owned sales outlets in major biking markets around the world.



Chronology of Events (1 of 4)

Q1: Name the company, analyze the market survey, choose the initial target segment, schedule the opening of one sales outlet

Q2: Design a brand for the target segment, hire a few salespeople, price the brand, and design a small advertising campaign



Chronology of Events (2 of 4)

Q3: Study end user feedback, competition, and financial performance and adjust strategy. Create web page(s).



Q4: Select a second target segment and design a marketing program. Schedule the opening of a new sales outlet and hire salespeople. Study end user feedback, competition, and financial performance and adjust strategy. Begin social media campaign.

Chronology of Events (3 of 4)

Q5: Introduce new brands with new R&D features, continue with market expansion by adding advertising, salespeople, and new outlets, and expand Internet marketing by adding paid Internet ads.



Chronology of Events (4 of 4)

Q6: Refine the marketing strategy, strategic thinking, and tactical execution and work on market performance (balanced scorecard)

- profitability
- customer satisfaction
- market share in targeted markets

*Study the market data to determine how to better meet customer needs and surpass the competition through brand design, pricing, advertising, and distribution.

Total Performance Evaluation (Done by Simulation)

- Total performance
 - Financial performance
 - Marketing effectiveness
 - Market performance
- Strategic thinking and tactical execution
- How well company is prepared for the future



Q1: Organize the Business

1. Name the company
2. Analyze the market survey
3. Choose the initial target segment
4. Schedule the opening of one sales outlet

Decisions **MUST** be entered
by **Sunday evening at 11:45
pm, Mountain Time!**
Note all other assignment
deadlines at 11:59 pm
Mountain.



Q1: Organize the Business

Marketing Research

LECTURE

Initial goal: to obtain an overall feel for the market

Your market research firm conducted a survey of potential end users. Your initial goal in reviewing the market research is to obtain an overall feel for the market. There are three market segments and four geographic markets. Each segment has a unique set of needs and wants.



Try to form a mental image of each segment. This

Creating a profile for each segment will help you to choose sales outlets, design new brands, price your products, and plan a campaign.



YOUR TASK

1. Review the marketing data.
2. Decide on an initial marketing strategy.
3. Initiate your first tactical decision: choose the first sales

12-Month Potential Demand

One-time report prepared for your company.



Recreation ⇅



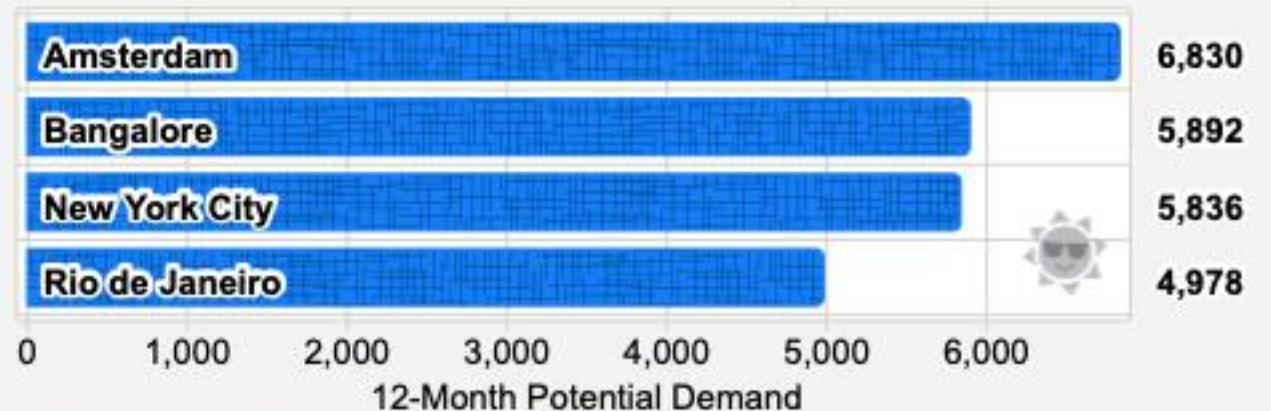
Mountain ⇅



Speed ⇅

	Recreation ⇅	Mountain ⇅	Speed ⇅
New York City	5,836	4,962	4,833
Rio de Janeiro	4,978	3,771	2,304
Amsterdam	6,830	3,428	4,415
Bangalore	5,892	3,394	2,822

Recreation - Top 4



Q1: Make Your Decisions

Target Segments

LECTUREWORKSPACE


 Recreation
 Mountain
 Speed

Open Store

LECTUREWORKSPACE

World Market

City	Open	Close	Current Status	Quarterly Lease Cost
New York City	☐		closed	72,000
Rio de Janeiro	☐		closed	17,000
Amsterdam	☐		closed	54,000
Bangalore	☐		closed	13,000

Total store cost: 0

ModifySaveCancel

Company 43



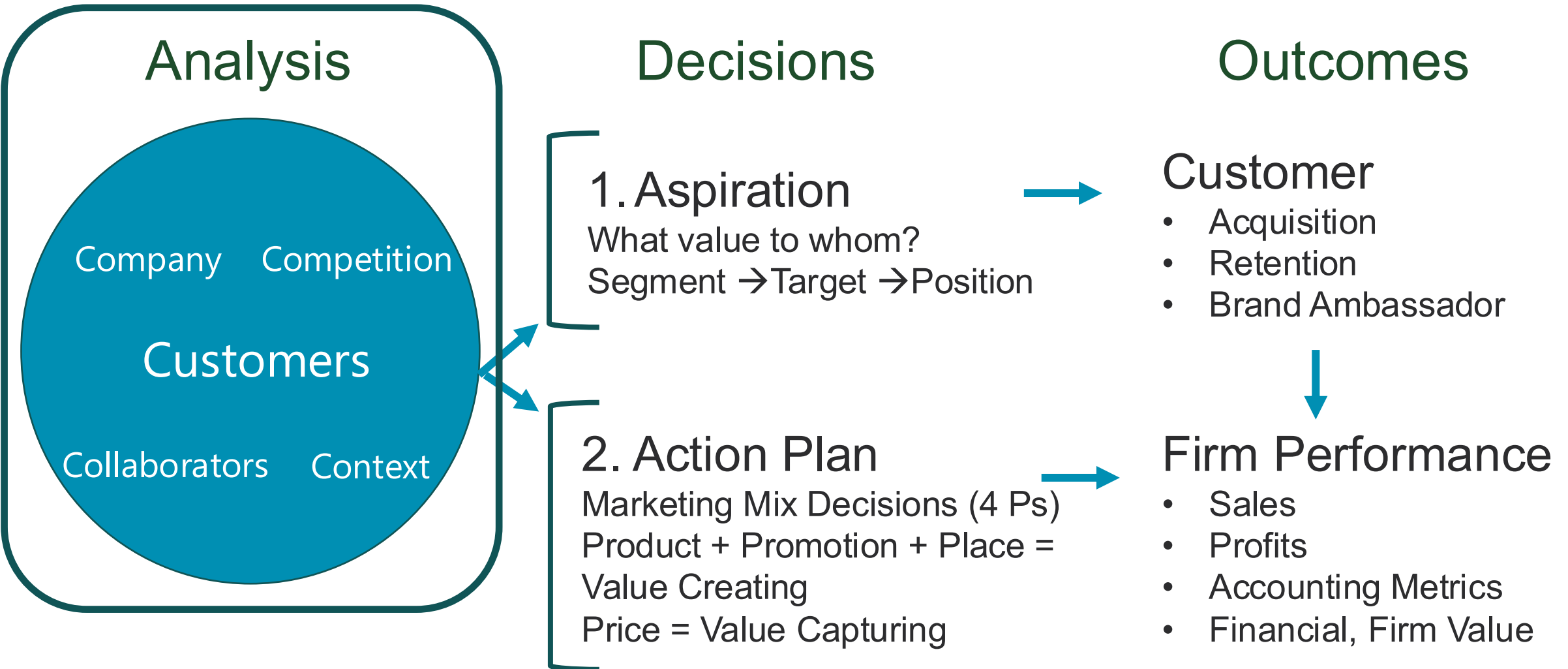
Quick Links

[Market Potential](#)[Price Willing to Pay](#)

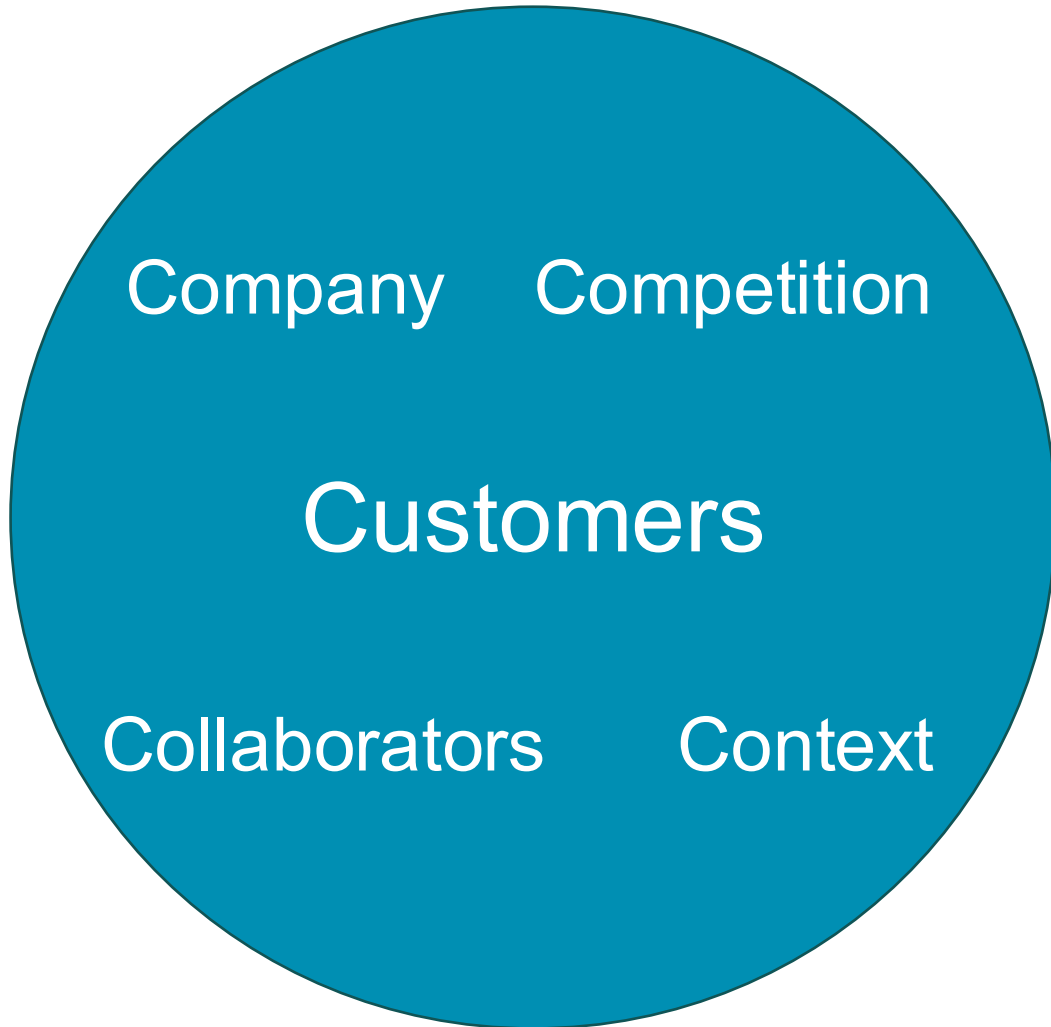
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Analyzing the Marketing Strategy Framework

Marketing Strategy Framework

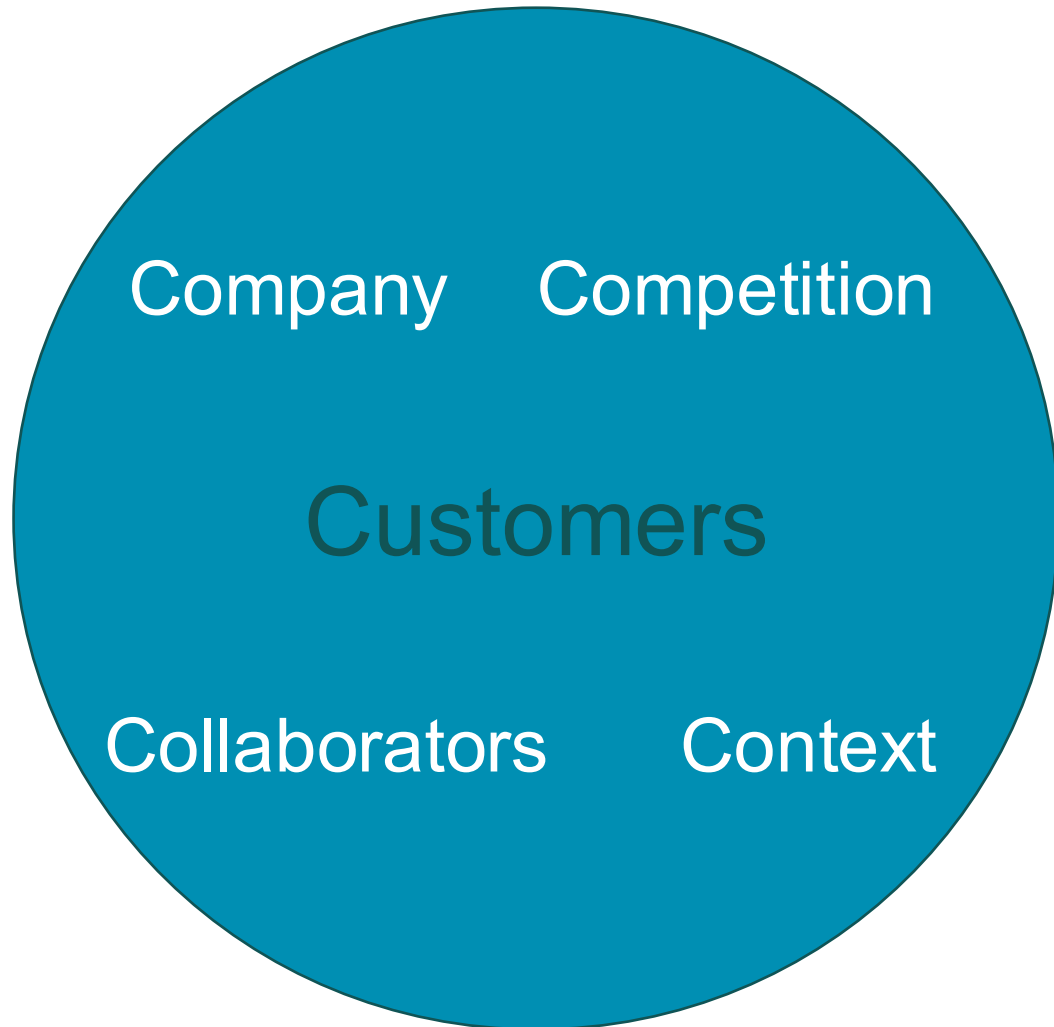


Strategic Marketing Analysis



- Also known as 5 Cs analysis.
- Provides a foundation for all other marketing decisions.
- Requires research, analysis, and ongoing monitoring, as each area of focus can change rapidly.
- Usually where data and insights can help with better decision making.

Strategic Marketing Analysis: Customers



Central given the focus on the customer to marketing.

- Extensive use of market research
- Who are our customers?
- How do they make decisions?
- What is the customer journey like?
 - Pre, during, post purchase
- Is there a viable market (size) to pursue?

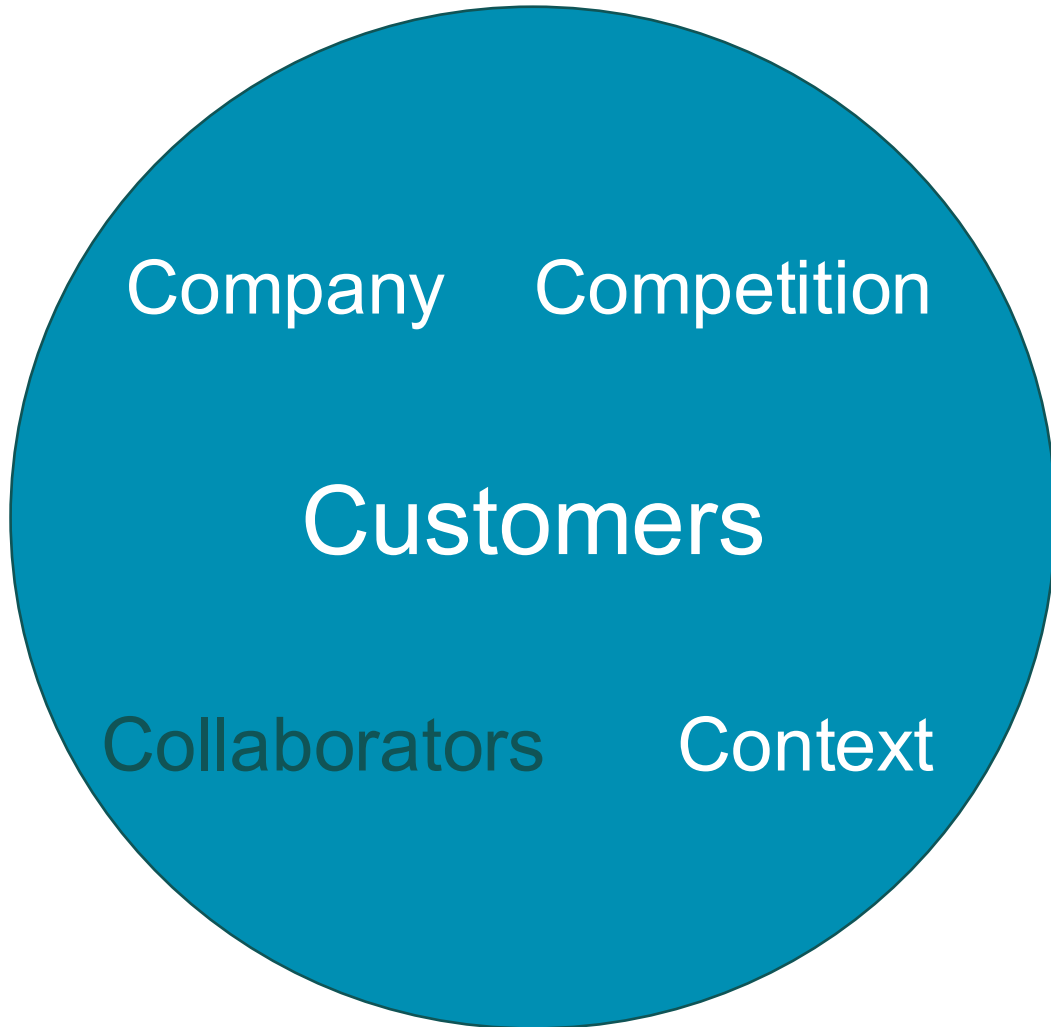
Strategic Marketing Analysis: Company



Next focus internally-what does the organization do well? Not so well?

- New products or new markets must match the organization's skill set.
- Evaluate organization's ability to create and deliver customer value...
- ...in a way that is sustainable and differentiable from competitors.

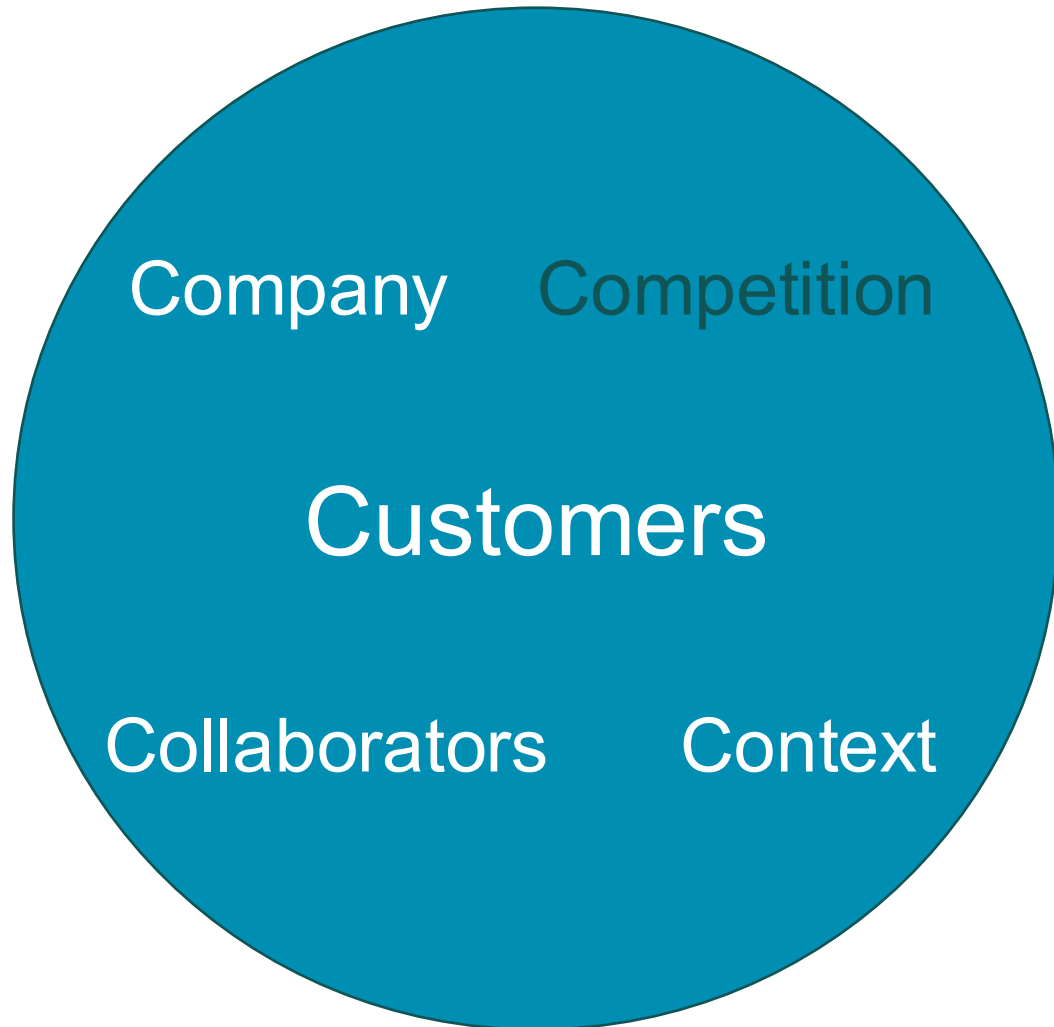
Strategic Marketing Analysis: Collaborators



How can the organization form strategic partnerships to create and deliver customer value?

- Financial viability
- Supply chain, channels of distribution (vertical collaboration)
- Horizontal partnerships
- In-house versus outsource decisions

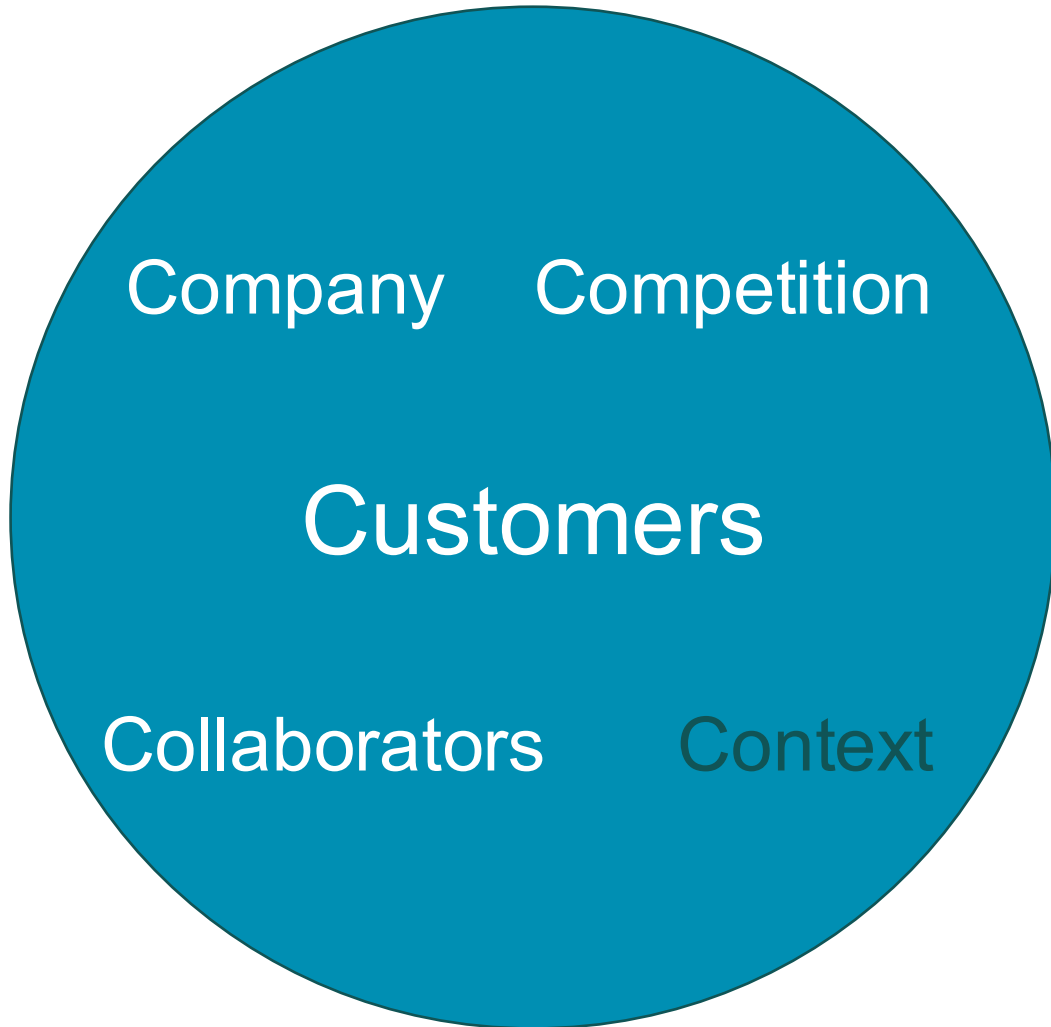
Strategic Marketing Analysis: Competition



Customers consider the value to be derived relative to other options in the marketplace.

- Who are current (and future) competitors, at all levels?
- What are their offerings, strengths and weaknesses?
- What are the barriers to market entry?
- Ongoing research for understanding

Strategic Marketing Analysis: Context



Context evaluation considers the external environment in which the organization operates (and which the customer lives).

- Technological disruption (including competition)
- Cultural and social trends
- Political climate, regulatory, and legal
- Natural environment considerations

Understanding Competitive Strategy

**Avis is only No.2
in rent a cars.
So why go with us?**



**We try damned hard.
(When you're not the biggest,
you have to.)**

**We just can't afford dirty ash-
trays. Or half-empty gas tanks. Or
worn wipers. Or unwashed cars.
Or low tires. Or anything less than**

Competitive Strategy

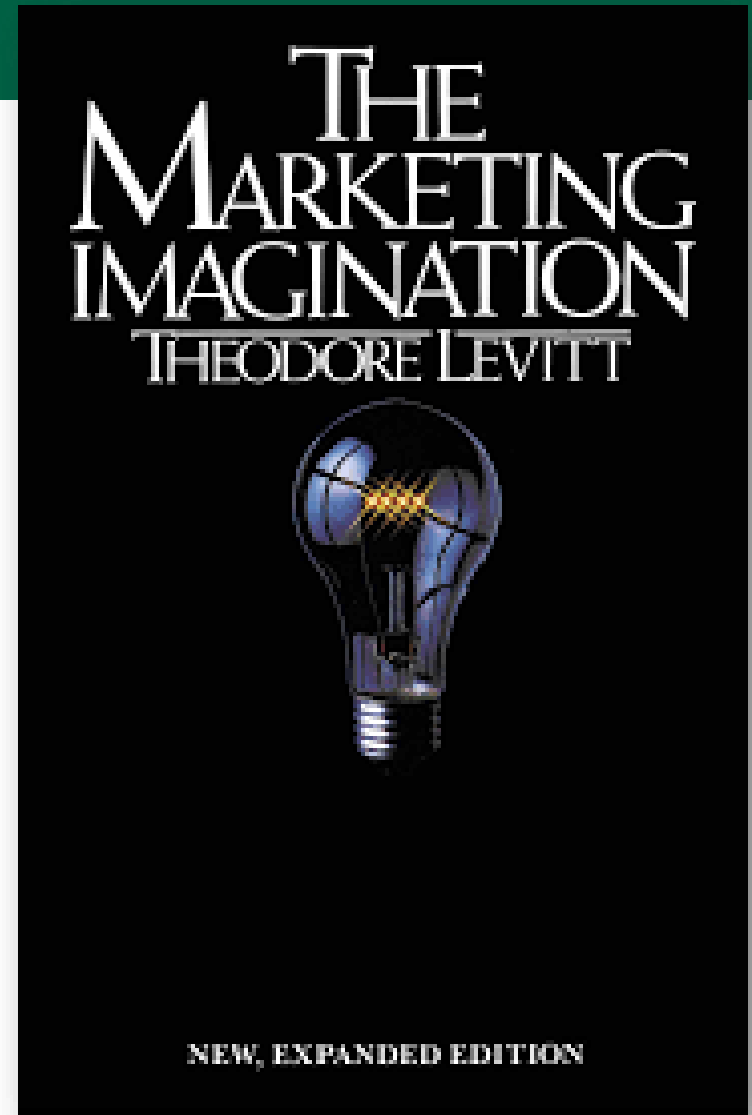
Why study competition in marketing?

- Customer perceptions of your product/ service versus competitor product/ service shape your positioning strategy
- Emphasis on meaningful differentiation
- How define competitors depends on your strategic goals and objectives
- Must be ongoing, proactive to anticipate and guard against threats



"Differentiation—of Anything!"

- Product is a bundle of attributes or "cluster of value satisfactions"
- Value measured in product's ability to solve customer problems
- Price competition is unsustainable
- "There is no such thing as a commodity...all goods can be differentiated and usually are...."



”Differentiation—of Anything!”

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Perfect for any
caffeinated and
Scroogled.

\$7.99



\$11.99

i

Maps Play YouTube

Free Pet Exam Coupon - ill

calico was put down

Hi,
I don't know if you've heard
She was such a wonder
and was having trouble to
Anyway, I know you understand
about this and will miss
kim

Click here to Reply or

Free Pet Exam C

Analyzing Competitive Strategy

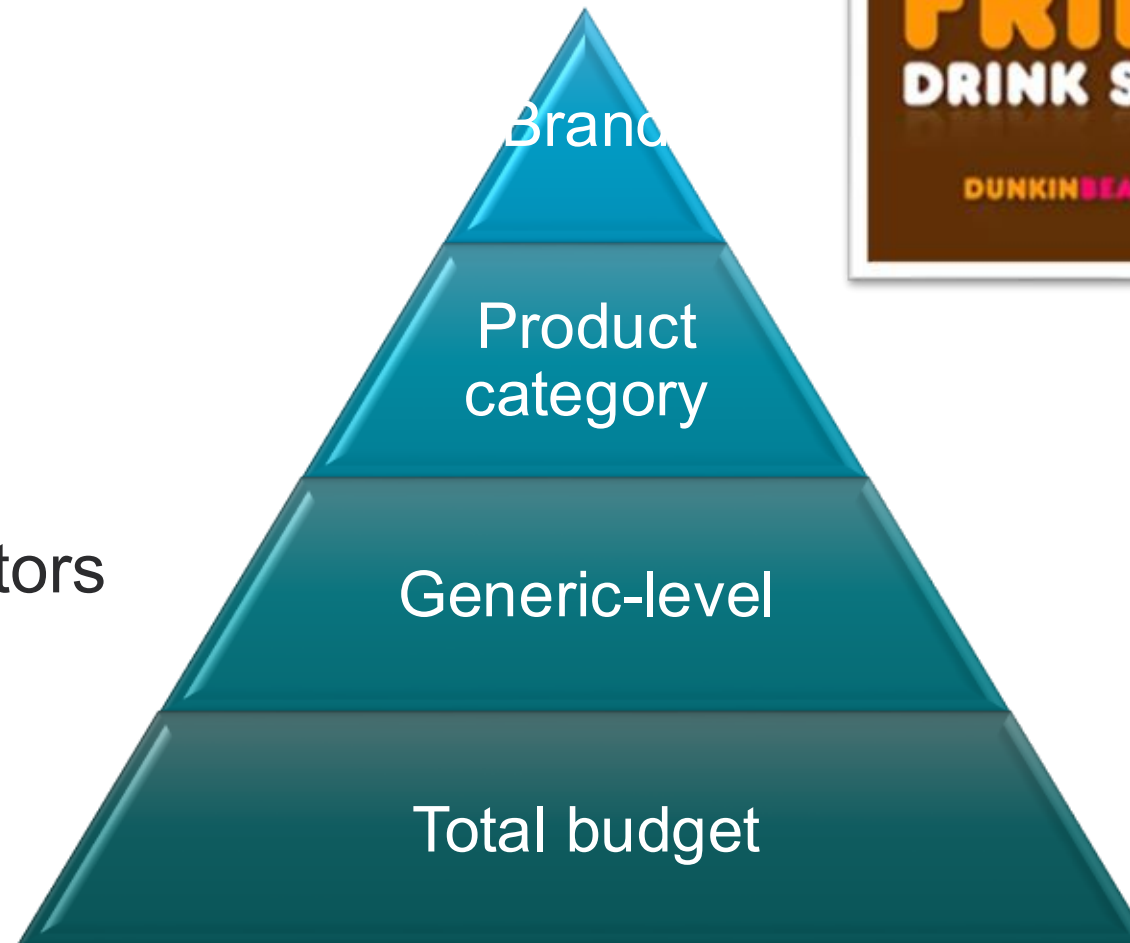


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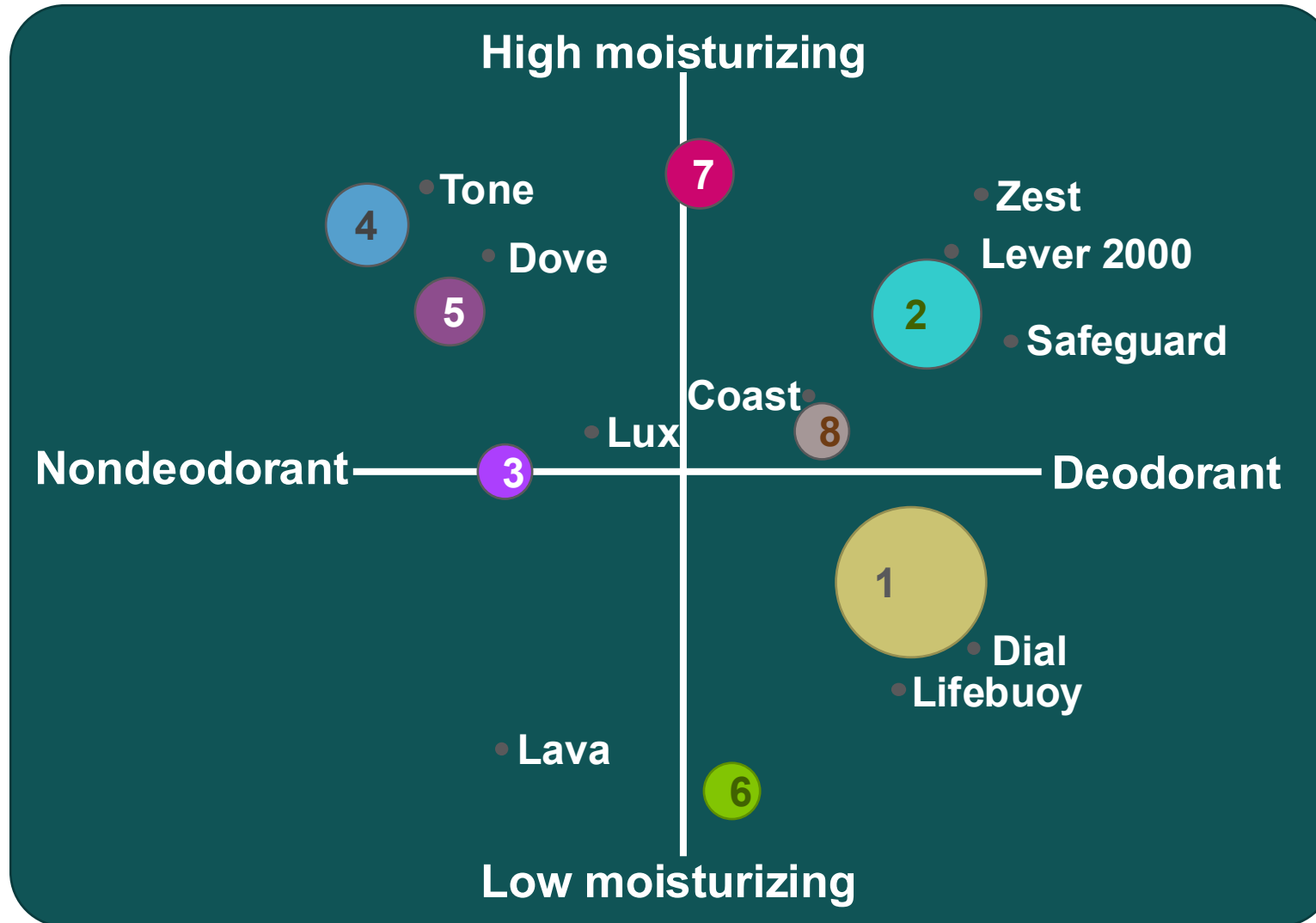
- Who are current (and future) competitors, at all levels?
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- What are the barriers to market entry?
- Ongoing research for understanding

Defining Competitors

- A competitor is any organization that aims to satisfy the same customer needs...
- Current Competitors
 - Brand competitors
 - Product competitors
 - Generic competitors
 - Total budget competitors
- Potential competitors
- Substitute products



Competitive Strategy: Perceptual Mapping



Segmenting Markets



Aug 18

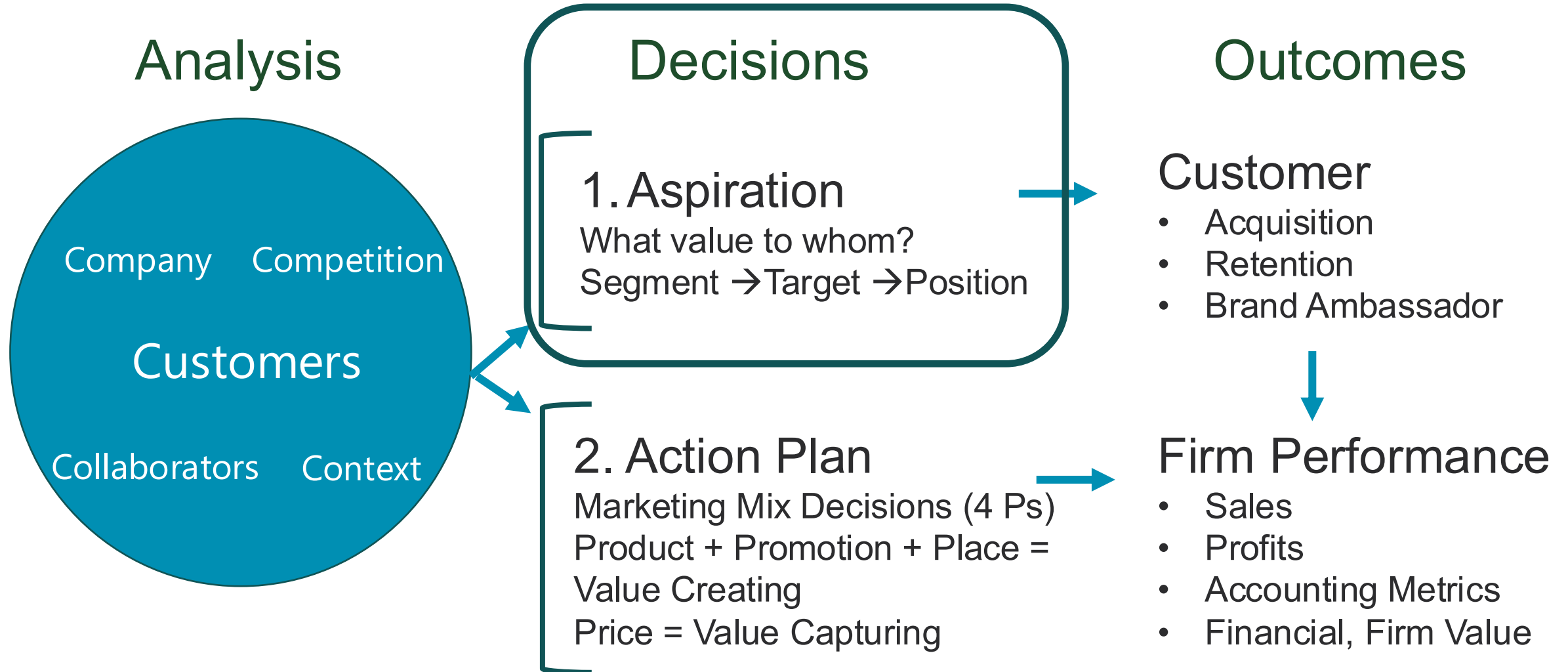
**Who Gives A Better Wipe?
Comparing Our Rolls to Caboo**



Aug 6

**Compare UK Toilet Rolls: Serious
Tissues vs Who Gives A Crap**

Marketing Strategy Framework



Full Market Coverage

- Involves no segmentation whatsoever
- Is an undifferentiated approach
- Works best when the needs of an entire market are homogeneous
- Is efficient from a production standpoint
- Results in fewer marketing messages but may be extremely expensive
- Risky and vulnerable to competitors



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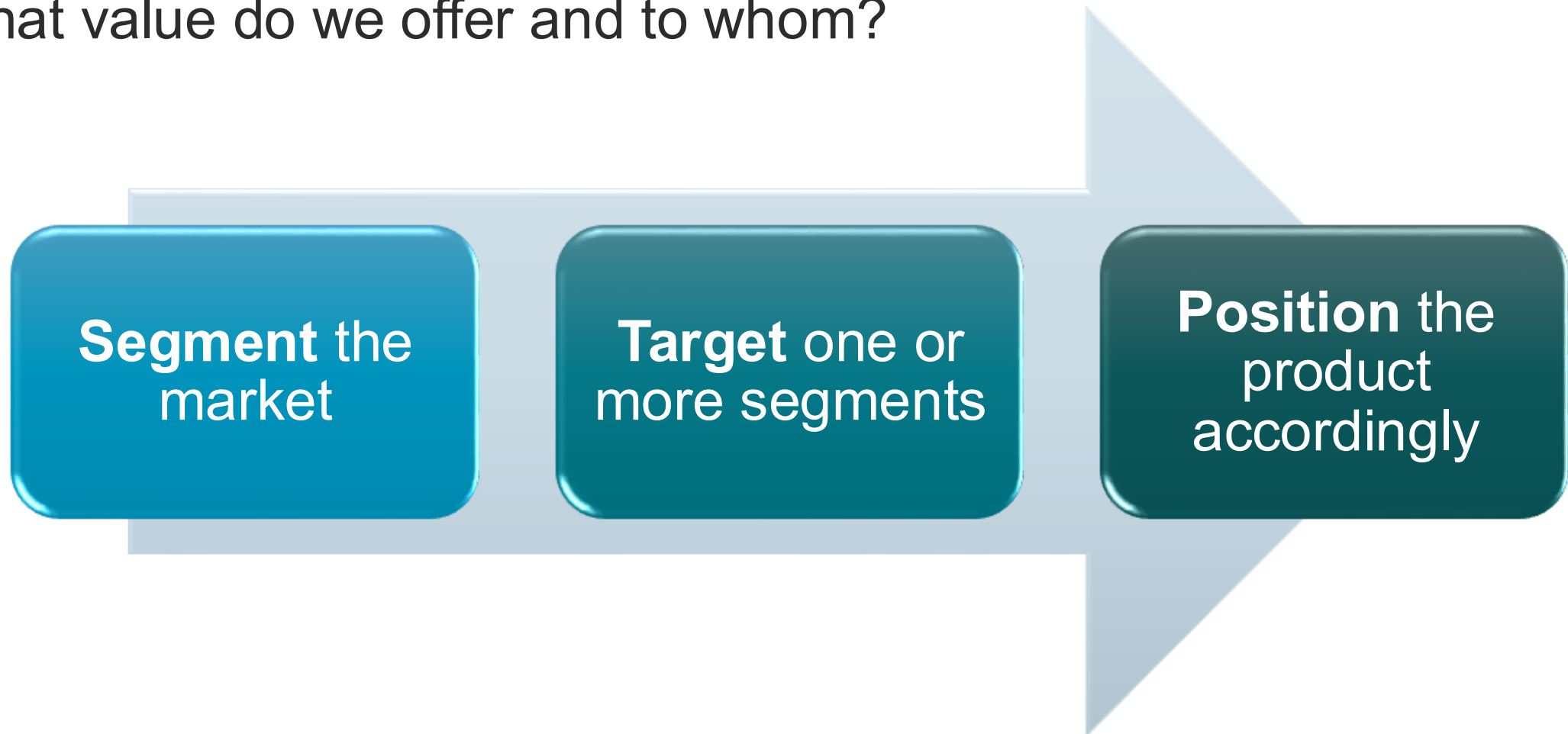
Fundamental Marketing Decisions: Aspiration

What value do we offer and to whom?



STP Process: Segmenting, Targeting, and Positioning

What value do we offer and to whom?



Marketing Aspirational Decisions

Unless an organization chooses to be a mass marketer, it makes sense to segment the market using the following process:

- **Segmentation** involves grouping customers on similar needs and creating detailed profiles of each segment.
- Assess attractiveness of each segment. Select one or more to **target**. Decision depends on organization's strengths, weaknesses, and the competition.
- **Positioning strategy** defines value proposition for target segments. Helps develop an action plan (i.e., 4 Ps).

What is Segmentation?

- Separation of heterogeneous customer groups with different needs and wants into homogeneous subgroups (i.e., segments) with similar needs and preferences.
- Firms can better tailor products and services to meet those needs and preferences.
- Helps identify market opportunities (or lack of opportunity)
- Helps refine products and services to better meet needs, solve problems, rather than only partially doing so.
- Segments cannot be “created;” only discovered.



Why Segment the Market?

For the **Organization**

- Identify unfulfilled needs and wants
- Design better products and services
- More efficient use of resources; Better target promotions
- Increase customer satisfaction; provide greater value

Sustainable Profit Growth

For the **Customer**

- Convenience and time savings
- Tailored products and services
- Personalized offers and relevant communications
- Customized experience
- Greater satisfaction and value

Compelling Customer Experience



Demographic: Income, age, education, occupation, gender identity, life stage, marital status, family size



Geographic: Nation (area), urban/rural, neighborhood, local variation, climate



Behavioral (Usage): Usage rate, loyalty, product expertise, involvement purchase occasions, buying stage (journey)



Psychographic: Personality, values, interests, hobbies, lifestyle, opinions, activities



Benefits Sought: Convenience, value, safety, status

Common Segmentation Variables

Variable Type	Example	Segment Defined
Demographic	Coke Zero	Age (young)
	Chase Sapphire	Age (Millennial)
	Zipcar	Age (under 25)
	Marriott Courtyard	Business traveler
Geographic	Zipcar	City dwellers and college students
Psychographic/lifestyle	Zipcar	Environmentally concerned
	IKEA	Value-oriented
Benefit sought	"Bugs" Burger Bug Killers	Pest elimination (not control)
	Spirit Airlines	Low price
	Outotec	High performance
Usage	Marriott Residence	Long stay



What value do we offer and to whom?

Demographic Segmentation

Advisor Services

Schwab brings resources my high net worth clients value.

Here's Why.

"Many days, I serve as a financial physician. I ask questions, listen, and prescribe solutions to help my clients realize their dreams. For example, most of my clients see philanthropy as an essential part of their financial plan. Schwab's relationship with Schwab CharitableSM is an invaluable resource for helping my clients fulfill their philanthropic intentions. Just one of the many ways Schwab is a champion for our success."

Stasia Washington
First Foundation Advisors

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Have fun tonight. We'll handle the rest. Our inexpensive transportation service will get you where you need to go and even let you choose how you get there. You can select between our different vehicle options: UberX, UberSUV, UberBLACK, and UberXL. Our mobile app lets you enter your route prior to request, providing you with an estimate of the trip cost, so there won't be any surprises. Visit www.uber.com and download the mobile app for iPhone/Android and your first ride is on us.

Sand Cloud

Sponsored

"I never thought I'd be leaving a review for a towel!"

The ways to use these towels are ENDLESS 🌊 Our hand-woven Turkish towels are the most versatile product which is why we've sold over 400,000. Use them as a...

- 🌊 Sand-free beach towel
- 🌊 Picnic blanket
- 🌊 ... See more



COLORS AND STYLES!"

SANDCLOUD.COM

20% Off with Code SC20

10% of profits go to marine conservation.

Shop now

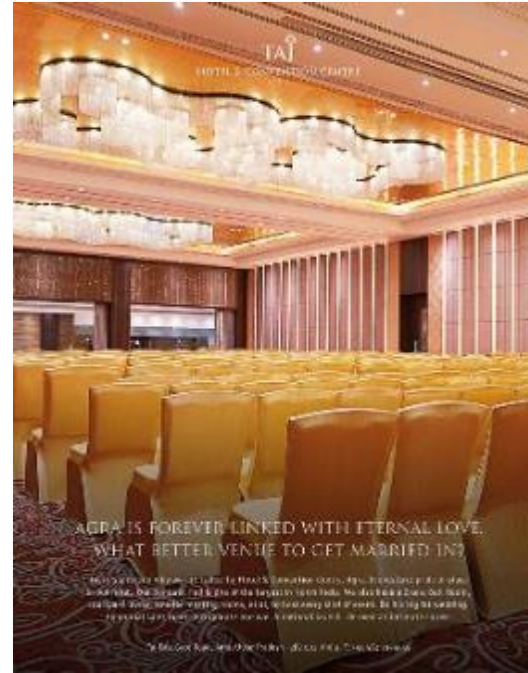
26K 5.5K Comments 2.3K Shares

Like Comment Share

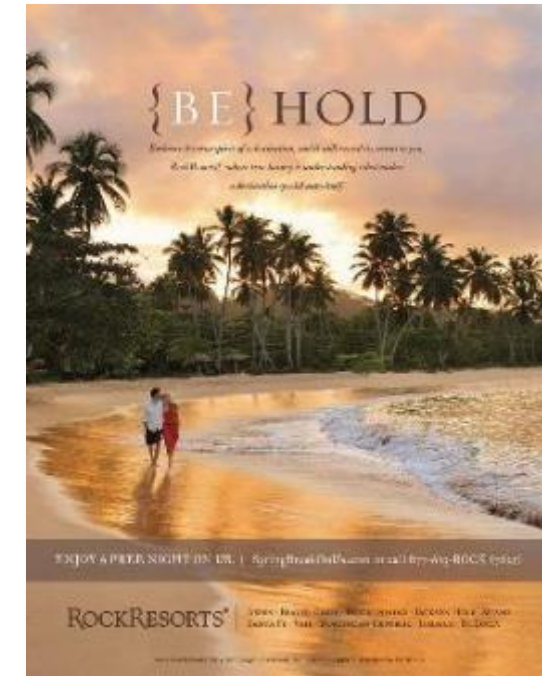
Behavioral Segmentation



Upscale
Execs



Event-Centered
Guests

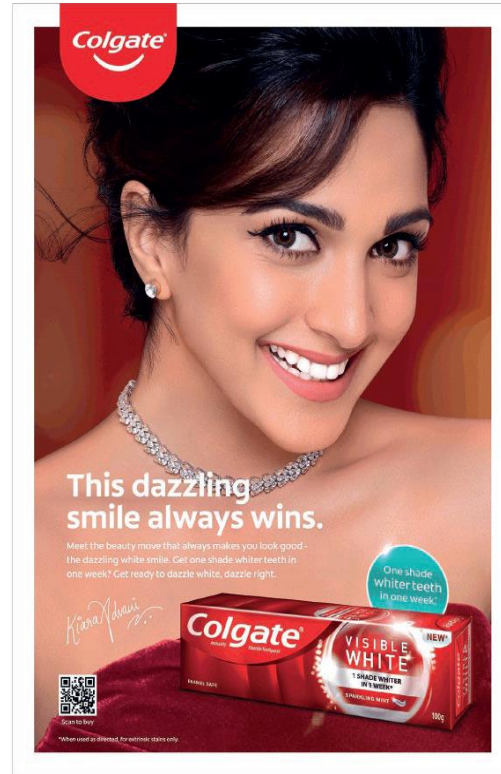


Resort
Seekers



Psychographic profiles of supermarket shoppers

Benefits Sought Segmentation



Segmentation in Business Markets



Easy to do; easy
for competitors to
imitate

Hard to do; difficult for
competitors to imitate

What Makes a Viable Segment? (B2B or B2C)

- **Identifiable:** Organizations should be able to identify customers in each segment and measure their characteristics (e.g., usage behavior or demographics).
- **Substantial:** Segment must be large enough to serve profitably. Segment should stand on its own and not overlap with those the organization already serves successfully (cannibalization).
- **Accessible:** Segment must be reachable through communication and distribution channels independent of other segments.
- **Stable:** Predictable, static, and reachable over a long enough period for marketing actions to be successful and profitable.

What Makes a Viable Segment? (continued)

- **Differentiable:** Consumers are similar to others within their segment, but different from those in other segments.
- **Actionable:** Organization has the ability to create products and services and to deploy marketing tactics to attract and serve customers in the selected segment(s).



Segmentation in Summary

Who Are the Customers?

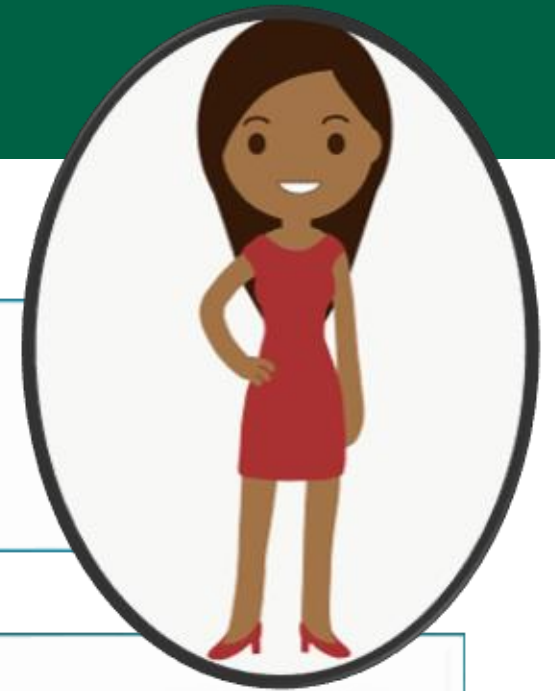
- Demographics, media usage, habits, activities, lifestyle

What Is Their Behavior?

- Product and service preferences, usage, loyalty, profitability

Why Do They Buy?

- Customer needs, preferences, decision process, value satisfaction



Creating a Segment Profile: Consumer Markets

Hip-ennial 29%



"I can make the world a better place."

- Cautious consumer, globally aware, charitable, and information-hungry
- Greatest user of social media but does not push/contribute content
- Female-dominated, below-average employment (many are students and homemakers)

Gadget Guru 13%



"It's a great day to be me."

- Successful, wired, free-spirited, confident, and at ease
- Feels this is his best decade
- Greatest device ownership, pushes/contributes to content
- Male-dominated, above-average income, single

Anti-Millennial 16%



"I'm too busy taking care of my business and my family to worry about much else."

- Locally minded, conservative
- Does not spend more for green products and services
- Seeks comfort and familiarity over excitement/change/interruption
- Slightly more female, more likely to be Hispanic and from the western United States

Millennial Mom 22%



"I love to work out, travel, and pamper my baby."

- Wealthy, family-oriented, works out, confident, and digitally savvy
- High online intensity
- Highly social and information-hungry
- Can feel isolated from others by her daily routine
- Older, highest income

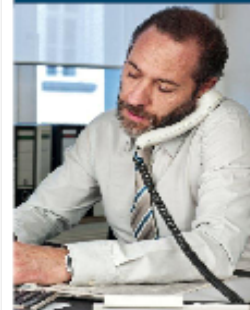
Clean and Green Millennial 10%



"I take care of myself and the world around me."

- Impressionable, cause-driven, healthy, green, and positive
- Greatest contributor of content, usually cause-related
- Male-dominated, youngest, more likely to be Hispanic, full-time students

Old School Millennial 10%



"Connecting on Facebook is too impersonal. Let's meet up for coffee instead!"

- Not wired, cautious consumer, and charitable
- Confident, independent, and self-directed
- Spends least amount of time online, reads
- Older, more likely to be Hispanic

Creating a Segment Profile: Business Markets

B2B Segment Profiles



	Key Customers	Prime Customers
Decision Making		
Primary decision maker	Nurses	Administrators
Purchase drivers	Patient satisfaction Physician requirements Return on investment	Necessity Low maintenance costs Low risk, low liability
Deciding factors on brand	Performance Patient outcomes and safety Caregiver safety	Reliability Ease of use Price
Product Preferences		
Product configuration	High-end to moderate	Moderate to low-end
System or Stand-alone	System	Stand-alone
Replacement cycle	Shorter	Longer
Required response times:		
Product service	Shorter	Longer
Shipment lead time	Longer	Shorter

Approaches to Selecting Target Markets



Target Market Selection

- Evaluating the attractiveness of each market segment
- Selecting one or more segments to pursue
- Position accordingly by designing products, services, and marketing programs to serve them
- Goal is to maximize long-term profitability in chosen segments



Successful Target Market Selection (B2B or B2C)

Segment

- Market size and value
- Forecasted segment growth
- Spending (current and potential)
- Profitability (sales less cost to serve)

Organizational

- Organizational competencies, objectives
- Resources and ability to reach segment
- Costs to firm of providing value

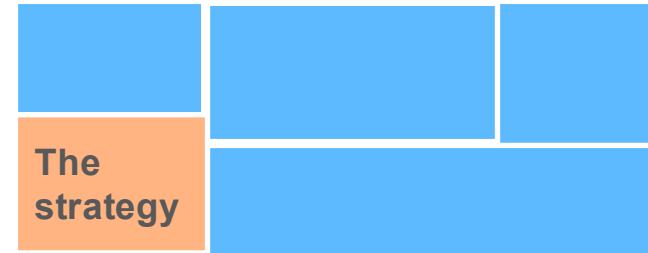
Competitive

- Competitive intensity
- Customer satisfaction with current offerings
- Competitor resources
- Barriers to entry

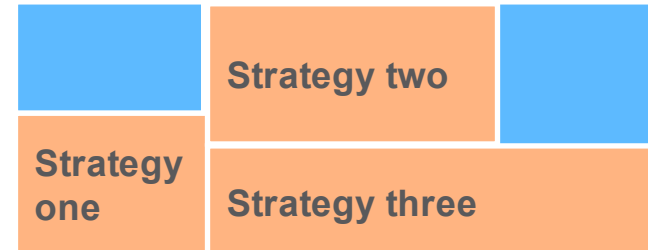
Approaches to Target Market Selection

A segmenter develops a different marketing mix for each segment.

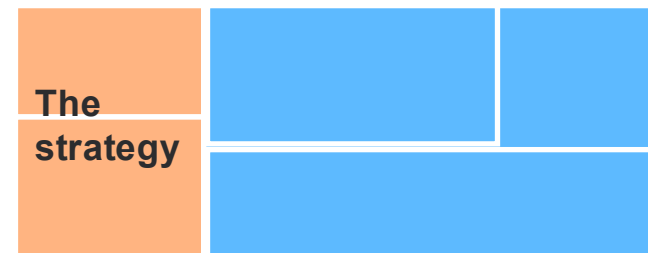
Single target market approach



Multiple target market approach



A combiner aims at two or more submarkets with the same marketing mix.



Basic Strategies for Target Market Selection

**Single
Segment
Targeting**

	M_1	M_2	M_3
P_1		•	
P_2			
P_3			

**Selective
Targeting**

	M_1	M_2	M_3
P_1	•		
P_2			•
P_3		•	

**Mass
Market
Targeting**

	M_1	M_2	M_3
P_1	•	•	•
P_2	•	•	•
P_3	•	•	•

**Product
Specialization**

	M_1	M_2	M_3
P_1	•	•	•
P_2			
P_3			

**Market
Specialization**

	M_1	M_2	M_3
P_1		•	
P_2		•	
P_3		•	

P = Product Category; M = Market

Crafting the Positioning Strategy



Positioning

- Positioning communicates how organization wants customers to think about its products/services/brands relative to competitors
- How organization wishes to be perceived
- Must be actively managed or customers will position products and services themselves
- Widely communicated in the firm to focus and align everything the company does



Positioning Statement

Positioning
statement for
customers

- “Among [target market], [x] is the brand of [frame of reference] that [key point of difference] because [reason to believe].”

Internal
positioning
statement

- “To [target market], [x] is the brand of [category in which you want to win] that [how you are going to beat competitors].”

Positioning Statement: Example

“Among [target market], [__ x __] is the brand of [frame of reference] that [key point of difference] because [reason to believe].”

For 16–24-year-old males, who embrace excitement, adventure, and fun, Mountain Dew of all carbonated soft drinks, delivers great taste that exhilarates like no other because Mountain Dew is energizing, thirst-quenching, and has a one-of-a-kind citrus flavor.



Positioning and Differentiation

- Positioning
 - Creating a mental image of the product offering and its differentiating features **in the mind of the customer relative to competitors**
- Product/Service Differentiation
 - Creating differences (**real or perceived**) in the firm's offerings that set them apart from competing offerings
- Allows the firm to create the marketing mix (next step in the marketing strategy process).



Differentiation Strategies

Branding is the most effective tool.

- Otherwise...
 - Product Descriptors
 - Product features – factual descriptors of the product and its characteristics
 - Advantages – performance characteristics of how the product behaves
 - Benefits – positive outcomes or need satisfaction
 - Customer Support Services



Positioning and Repositioning

- Sometimes the organization needs to actively **reposition** the product based on poor performance or new competitive, environmental or other market situation



To Do Next...

1. Take the Week 2 Quiz
*Review any concepts you may have missed
2. Do the Week 2 Discussion Assignment
3. Make your Quarter 1 Simulation Decision & Do the Reflection
4. Prepare for Week 3, Understanding Customers
5. Have a great week!





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